

to make up for bad market cycles or to benefit from the awesome power of compounding. In this regard, investing early gives you a leg up. The flip side, of course, is that the older you are, the more conservative you should become. A good technique is to diminish your exposure to equities over time by doing portfolio reallocations on a regular basis. Rule of thumb: Subtract your age from 100 to yield a recommended percentage for your stock allocation. Though this is a simple way of arriving at a ballpark stock allocation, you'll still need to take into account your risk profile and financial goals to arrive at your final numbers.



2. Resist market timing

I learned the hard way that short-term market timing is a lousy approach. I've been whipsawed by the market via short sales and stock trades during

volatile periods. These days, I resist the urge to market-time even while the market dances like a drunk sailor. My take is that if you trade, you should know what you're doing, and not just get into this because you're acting on emotion.

3. Be well diversified

Stock market diversification can be effectively realized via indexing and appropriate asset allocation strategies. You can also buy general, actively managed mutual funds and achieve some level of diversification, although this means you're entrusting the performance of your funds to its fund managers. I prefer to do it the passive way—by tracking the indexes that represent major asset classes.

4. Choose good asset allocations for your portfolio

Believe it or not, the overall total returns of your investments will depend largely on how your asset allocation is structured. Most financial literature will suggest an allocation that includes stocks, bonds, cash, real estate, and even precious metals or commodities in your portfolio since these asset classes don't behave in lockstep (the less correlated asset classes are, the better!).